
Let's Learn Mutual Fund Investing

Session 1

My Mutual Fund Portfolio

Why Invest?

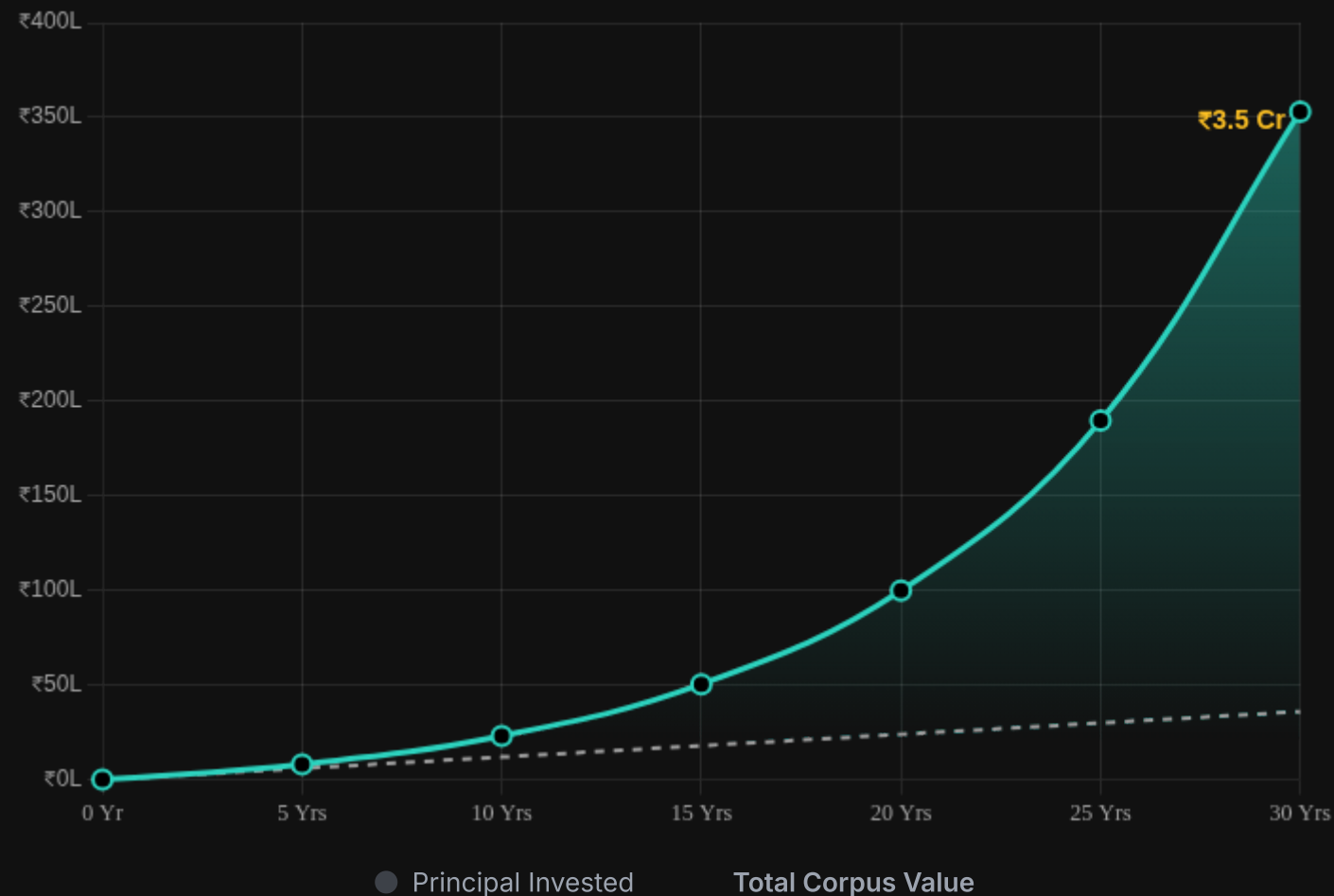
Earning returns on your returns — the key to beating inflation and exponential wealth.

Growth of Monthly Investment

🪙 SIP Amount: ₹10,000 / month

📈 Expected Return: 12% CAGR

Power of Consistency



“Compound interest is the eighth wonder of the world. He who understands it, earns it... he who doesn't, pays it.”

— Albert Einstein

10 Years

10 Years

Invested:

₹12 Lakhs

Value:

₹23.2 Lakhs

20 Years

20 Years

Invested:

₹24 Lakhs

Value:

₹1.0 Crore

30 Years

30 Years

Invested:

₹36 Lakhs

Value:

₹3.5 Crores

9.7x Gain

What Are Mutual Funds?

A **Mutual Fund** is a professionally managed investment vehicle that pools money from many investors to purchase securities like stocks, bonds, money market instruments, and other assets.



Investors

Pool their money together

INVEST
— MONEY —>



Fund Manager

Professionally manages the pool

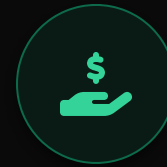
ALLOCATES
—>



Securities

Stocks, Bonds, Gold, etc.

GENERATES
—>



Returns

Passed back to investors



Professional Management

Managed by qualified experts who research and select the best securities.



Regulated & Safe

Strictly regulated by SEBI (India) or SEC (US) to protect investor interests.



Easy Accessibility

Start with small amounts (as low as ₹500/\$10) via SIPs or lump sum.

Why Invest in Mutual Funds?

Comparing individual stock picking vs. professional fund management



DIY Investing

Direct Equity / Individual Stocks



High Concentration Risk

Buying only 2-3 stocks increases risk significantly if one fails.



Time Intensive

Requires constant monitoring, research, and market tracking.



Knowledge Barrier

Requires deep understanding of balance sheets and technicals.



High Capital Need

Large capital required to build a properly diversified portfolio.

VS



Mutual Funds

Pooled Professional Investment

★ RECOMMENDED



Instant Diversification

One unit gives exposure to 30-50 different stocks, reducing risk.



Professional Management

Expert fund managers make buy/sell decisions based on research.



Affordability

Start investing with as little as ₹500 via SIP (Systematic Plan).

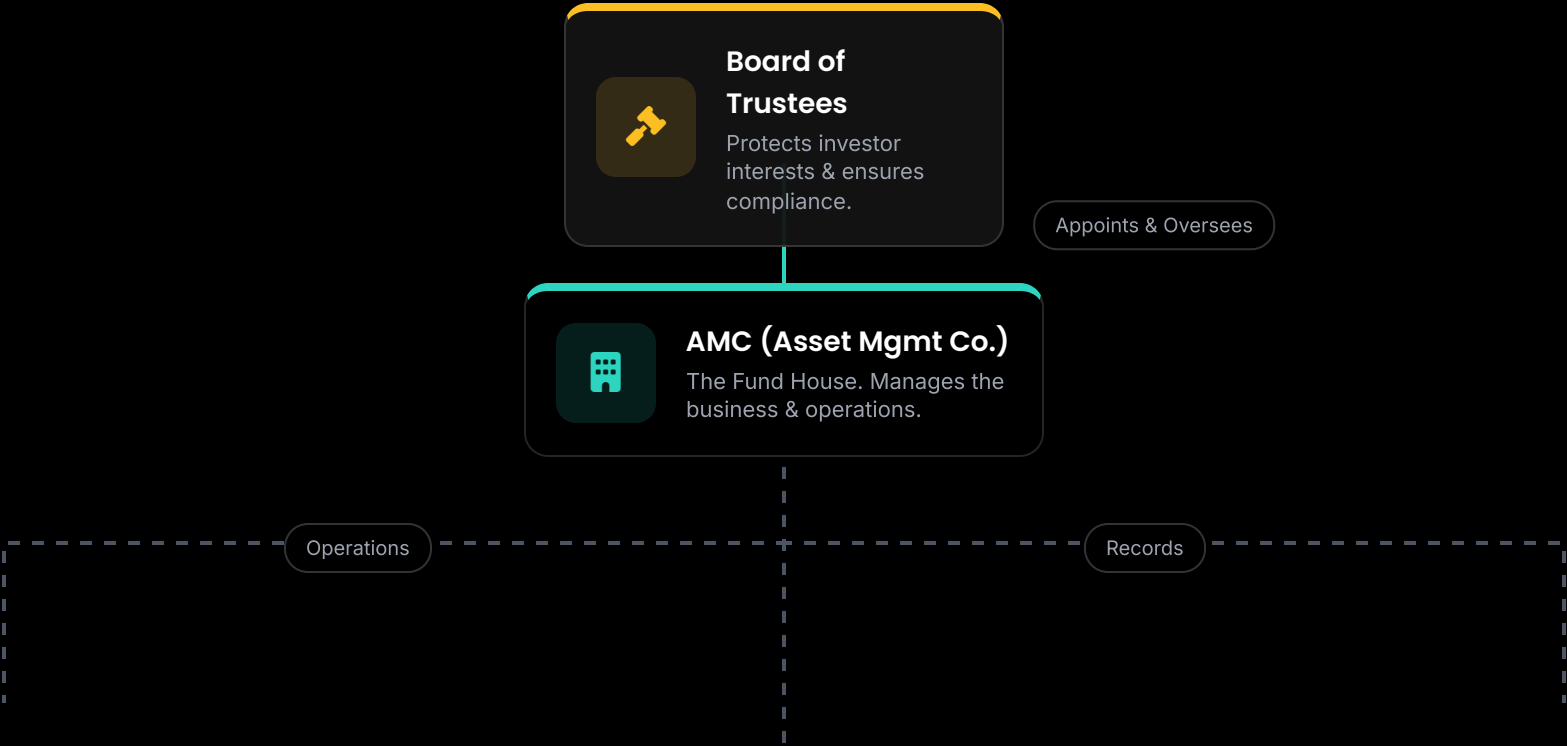


Liquidity & Flexibility

Redeem money anytime (open-ended) with T+1 or T+2 settlement.

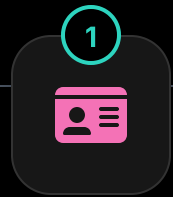
How It Works: Structure

The ecosystem that manages and protects your money.



How It Works: Logistics

A simple 4-step process to start your investment journey.



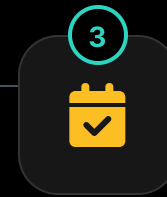
Complete KYC

Submit PAN, Aadhaar, and bank details to become investment compliant.



Select Fund

Choose Equity, Debt, or Hybrid based on your goals and risk appetite.



Choose Mode

Opt for **SIP** (Regular) or **Lump Sum** (One-time) investment.



Invest

Transact via AMC website or Distributor/App.

Understanding NAV

Net Asset Value (NAV) is the price per unit of the mutual fund scheme. Think of it like the share price of a stock. It is calculated at the end of every trading day.

→ If you invest ₹5,000 at NAV of ₹50, you get **100 Units**.

NAV CALCULATION FORMULA

$$\text{NAV} = \frac{\text{Total Assets} - \text{Liabilities}}{\text{Total Outstanding Units}}$$

Investing Terminology

Essential concepts every investor should know.



SIP

Systematic Investment Plan. A method of investing a fixed sum regularly (e.g., monthly) in a mutual fund scheme.



NAV

Net Asset Value. The price per unit of a fund. Calculated as $(\text{Total Assets} - \text{Liabilities}) / \text{Total Units}$.



AUM

Assets Under Management. The total market value of all investments managed by a mutual fund scheme.



CAGR

Compound Annual Growth Rate. The mean annual growth rate of an investment over a specified period of time longer than one year.



XIRR

Extended Internal Rate of Return. A method to calculate returns on investments with irregular cash flows (like SIPs).



Growth vs Dividend

Growth: Profits are reinvested (better for compounding).
Dividend: Profits are paid out to investors periodically.



Lock-in Period

A specific period during which you cannot redeem your units. ELSS funds have a mandatory 3-year lock-in.



Benchmark Index

Standard against which fund performance is measured (e.g., Nifty 50 for Large Cap funds).

Key Terms Glossary

A quick reference guide to mutual fund vocabulary.

AMC	Asset Management Company; the firm that pools money from investors and manages the mutual fund schemes.
AUM	Assets Under Management; total market value of investments managed by the fund house.
CAGR	Compound Annual Growth Rate; measures the mean annual growth rate of an investment over a period > 1 year.
Direct Plan	Investment plan purchased directly from the AMC, bypassing distributors. Has lower expense ratio.
Diversification	Strategy of spreading investments across various assets to reduce risk exposure.
ELSS	Equity Linked Savings Scheme; tax-saving mutual funds with a 3-year lock-in period.
Exit Load	Fee charged by the fund house if you redeem your units before a specified period.
Expense Ratio	Annual fee expressed as a percentage of assets, charged for fund management and operations.
Folio Number	A unique identification number assigned to your mutual fund account holding.

Fund Manager	Professional responsible for making investment decisions (buying/selling securities) for the scheme.
Lump Sum	A one-time large investment in a mutual fund scheme, as opposed to periodic investments.
Mutual Fund	Investment vehicle pooling money from many investors to invest in securities like stocks and bonds.
NAV	Net Asset Value; the per-unit price of the mutual fund scheme, calculated daily.
Redemption	Process of selling your mutual fund units back to the fund house to get your money.
Regular Plan	Investment plan purchased through a distributor/broker. Includes commission in the expense ratio.
SIP	Systematic Investment Plan; investing a fixed amount at regular intervals (e.g., monthly).
XIRR	Extended Internal Rate of Return; return metric used for investments with multiple cash flows like SIPs.



"An investment in knowledge pays the best interest." — Benjamin Franklin

Start Your Journey Today

Turning financial goals into reality with Mutual Funds.

Why It Matters

- ✓ **Simple & Accessible:** Start with as little as ₹500.
- ✓ **Professional Management:** Experts handle your money.
- ✓ **Wealth Creation:** Beat inflation over the long term.
- ✓ **High Liquidity:** Withdraw money when you need it.

“**Start Small. Stay Consistent. Let Compounding Work.**”

≡ **Next Class:** How to analyse mutual funds?